

REVIEW OF THE TWO DAYS THAT STOPPED ME TRADING FOR A MONTH

15th May 2023

I wrote this document as a promise to myself. I promised I would not take another trade until I had reviewed my on the 19th and 20th of April 2023.

I finished the month of March 2023 with a profit of £55,820. For the year here in the Telegram channels, I had made £306,770 – with the account being at £406,770.

This only tells half the story. As I noted in post <https://t.me/c/1238535538/51086>:

I find it interesting that my average daily gain is around £6,000, which is significantly less than the average gain at this time last year. I must be getting old and less aggressive.

I then posted the breakdown for March 2023.

	Loss	BE	Win	Raw Points	100% Points	P&L
DAX	28	4	39	448.1	46.5	£9,300
FTSE	8	1	19	163.1	90.9	£27,270
DOW	32	8	41	96	-13	-£1,300
NASDAQ	23	7	34	406	102.75	£20,550
				1113.2	227.15	£55,820

I added at the time of the post (<https://t.me/c/1238535538/50931>) the following comment:

"I am plus for the month. Please bear in mind I lost 250 Dow points on NFP, and I have battled ever since. I was minus £50k, so I am glad to be positive for the month."

I had planned to take some time off in April 2023 on account of Easter. I started the month of April with a solid £18,800 day (<https://t.me/c/1238535538/51084>) but the very next day I felt there was something off in my behaviour.

I posted the following comment:

Over the last 3 weeks I have given talks on 2 continents, traded all hours from many locations, streamed with you for up to 5 hours a day, and I am up 306% in 3 months. I have written 20,000 words for a book, and I am feeling tired. I have researched and uncovered and shared. And the results are good, I think.

But here is what I haven't done. I haven't looked after myself. When I let that £8,000 open profit go to zero yesterday, I sat down and asked what was going on inside. The answer was quick. Very quick.

I need a break from trading. I need to do something else for a few days.

I am talking about a break, but I wasn't listening to myself properly. I traded sporadically, and I had two days where I was ill, and I didn't trade, the 13th and 14th April. I will now show you the results for April 2023.

3 rd April	plus £18,800
12 th April	plus £8,500
17 th April	plus £6,800
18 th April	minus £2,400
19 th April	minus £42,400
20 th April	minus £57,800

The loss on the 19th of April and the 20th of April 2023 was the biggest two-day loss in my Telegram channel history, and the loss on the 20th of April was the single biggest loss I have had trading live.

That evening I reflected on my state of mind, and I concluded that I was not where I wanted to be. I had moved from being plus £34,100 for the month of April to being minus £66,100. Something was not right. I had lost 21% of my profit to date in just two days.

This is explained here (<https://t.me/c/1238535538/51325>).

I promised myself I would not return to the channel and trade until I had fully accounted for the trades on the channel the 19th and 20th of April 2023.

The FTSE index opened near the lows of the previous day. At “1” (see trading ticket boxes for numbers) I shorted the index at 7881.3. I used a large stop of 14 points. At “2” I added to the position, and my stop loss was 11 points. I was stopped out soon after on “2”, but I was still short “1”. Later FTSE fell towards the lows, and I shorted the lows at “3”. The market respected the double bottom, and I took my entire loss in the FTSE around 09:50am for minus 30 points. **Loss = £9,000.**

There is a line of thought in trading that when you “short”, you should look to do so by selling into strength, as opposed to selling weakness. I don’t intend to discuss my views on this argument now but trade no 1 and 2 are both executed “with momentum lower”, while trade no 3 is selling into short-term strength (see next page).

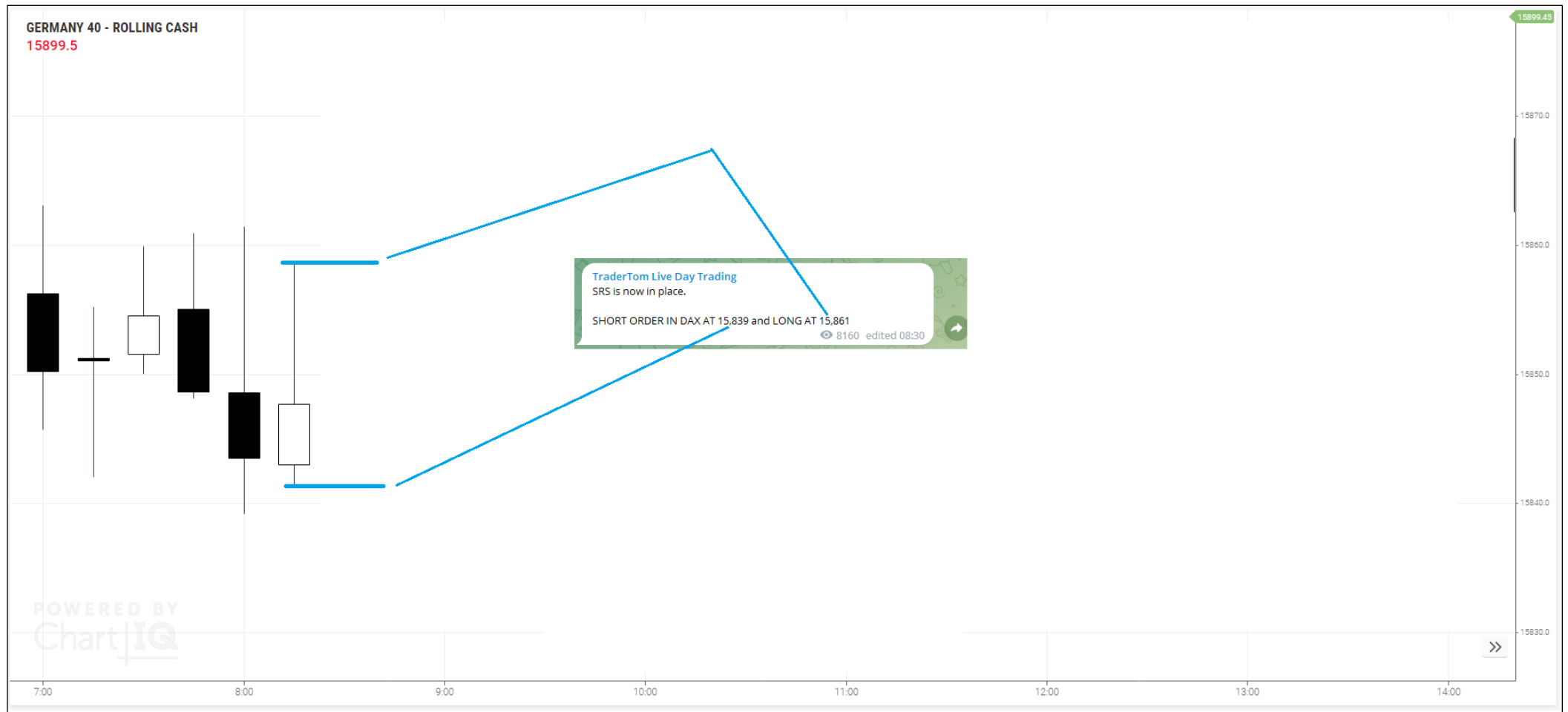
I think critics of my trades would argue that I am shorting a double bottom at trade no 3. I can’t argue against it. Each trade loses 10 points on average. It is not a huge loss on a single position, but at £300 a point it adds up to a sizeable loss of £9,000. I don’t believe the loss is the result of irresponsible action on my part, but my stops were tight for the volatility and perhaps I should have had fewer positions and larger stops.



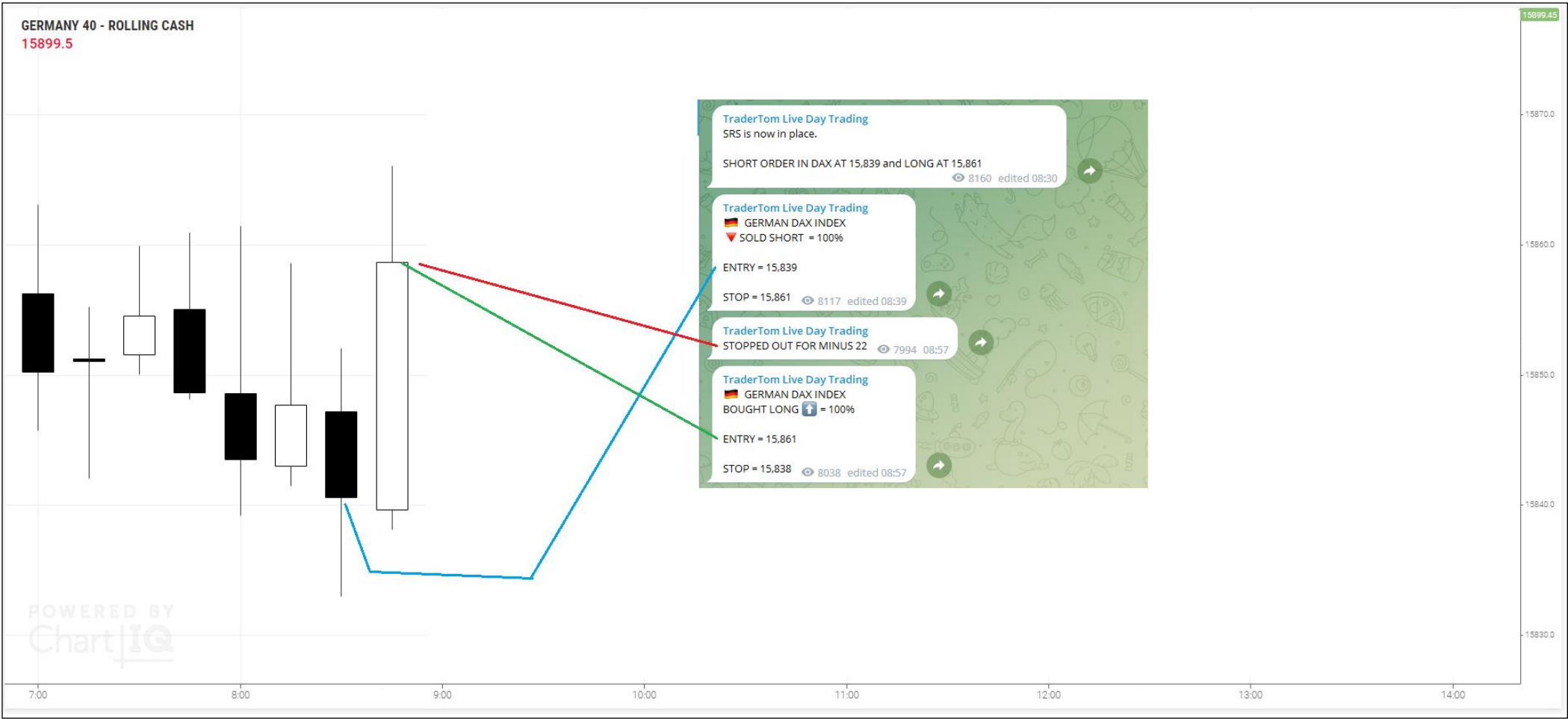
Here is the chart at the time of the 3rd entry in the FTSE – see above.



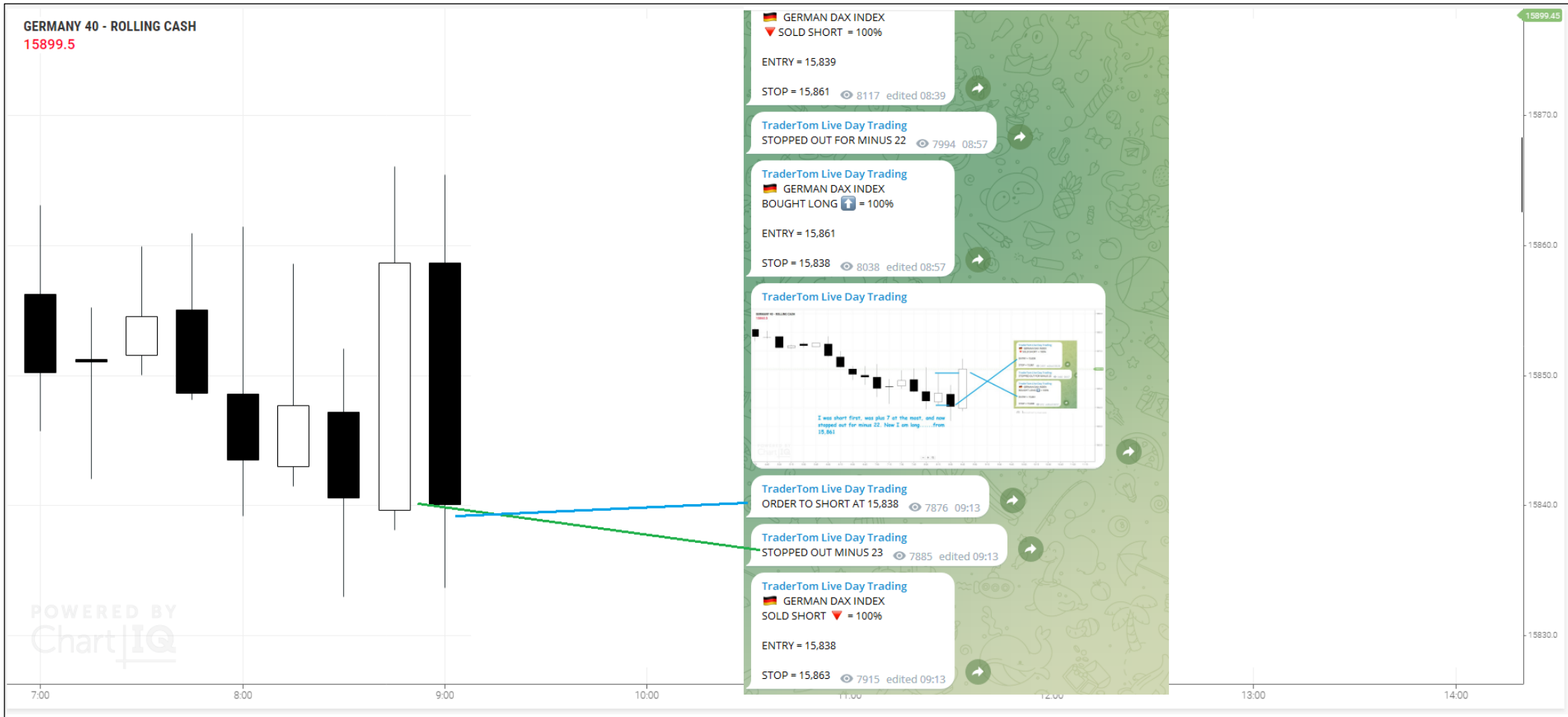
The DAX was where the real trouble happened on the 19th of April 2023. When I look back at the chart, I just wish I had decided to leave the market alone that morning. The chart – the 15min chart – is frankly the stuff of nightmares for a breakout strategy. Judge for yourself. The 2nd 15-minute candle sets the parameters for the SRS. I will sell short at 15,839 and I will buy at 15,861.



I get filled on the short side. I get stopped out. I flip the switch, and I go long. It looks good.



I don't believe I have witnessed this in the DAX while trading the School Run Strategy. I get taken short. I lose. I get taken long. I lose. I get taken short again. And guess what? Well see the next page.

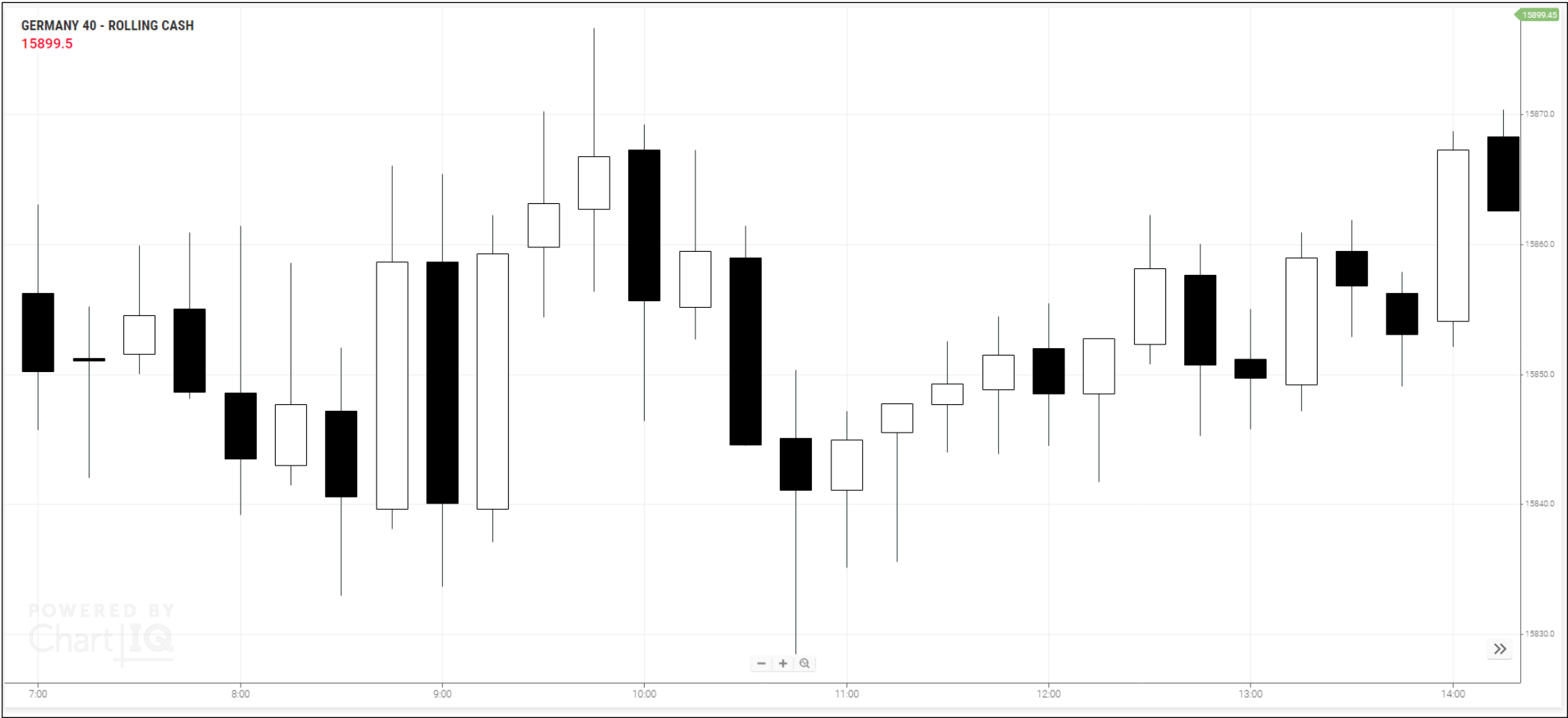


I lose again. 70 points at £200 a point makes for not so pretty reading.

TraderTom Live Day Trading

STATUS

MINUS 70 in DAX - three failed SRS 8039 09:32



I dust myself off. I tell myself that this market will likely have a break higher now. I enter the long side where the original SRS entry was, and I add to the position. My average entry is about 15,867. Although it is a month ago, I remember distinctly feeling an impulse to take profit, when the DAX went 75. “Take quick 20 point”, a voice in my head said. I dismissed it. I am glad I did, but it cost me.

As you can see, the DAX turns lower again. I lose a total of 16 and 21 points, bringing my loss on the day in the DAX to 70 + 37 = 107 points. When you add to winners, you win more, and you lose more. I could have walked away from a troublesome session with minus 50. Instead, it became minus 107. So, did I do the right thing? I don’t know what you think, but for me, I did. If the market on the last trade had filled the gap, I would have recouped all my DAX losses for the morning. That is what I was playing for. If I had taken my “quick 20 points”, and the market had continued, I would have had a hard time justifying taking a profit. I think fundamentally I would rather lose doing the right thing than win doing the wrong thing.



TraderTom Live Day Trading

STATUS

DAX MINUS 107 = MINUS £21,400

FTSE MINUS 30 = MINUS £9,000  8668 10:10

That is big loss for a morning's trading, but it was going to get worse, as I am about to show you:

TraderTom Live Day Trading

STATUS

DAX MINUS 107 = MINUS £21,400

FTSE MINUS 30 = MINUS £9,000

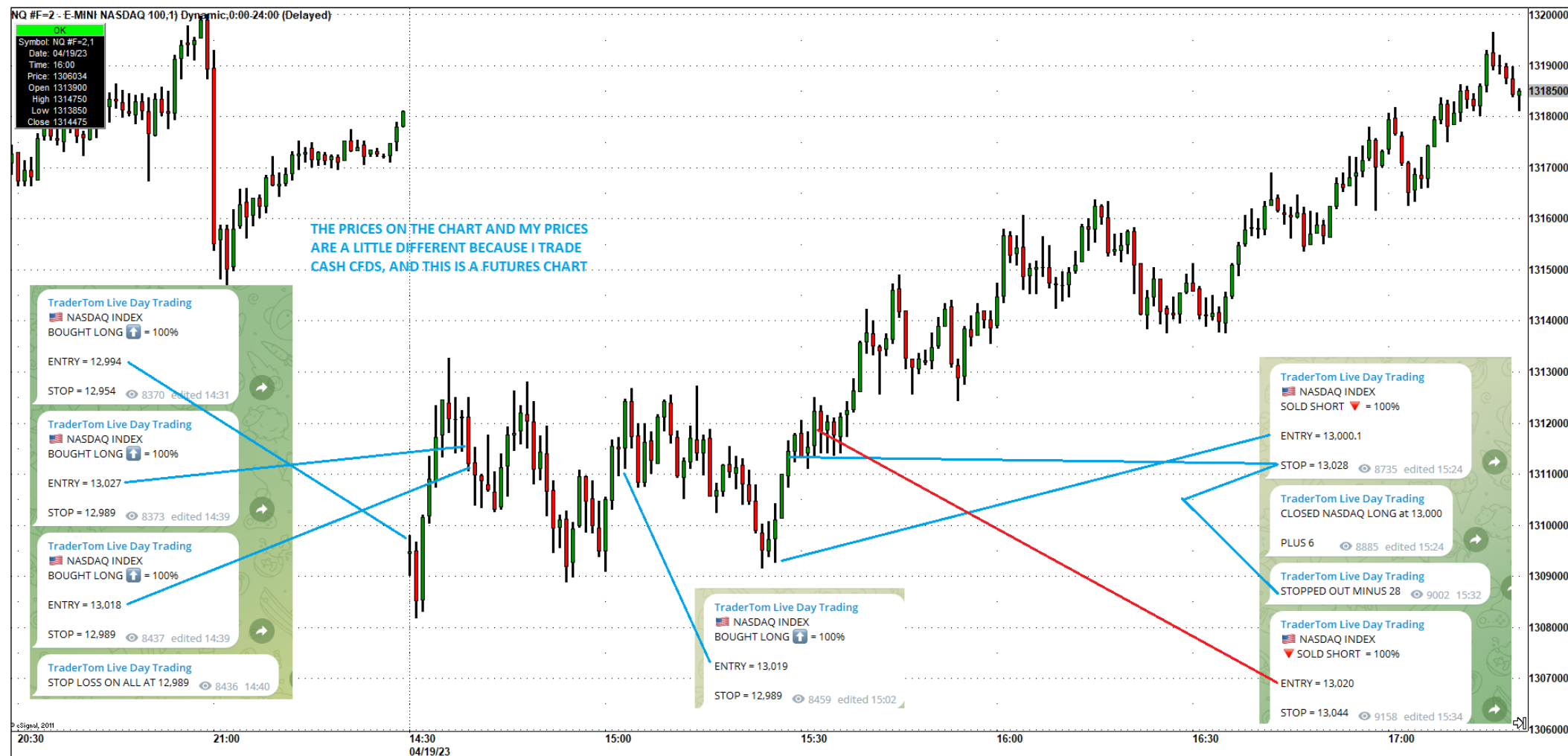
NASDAQ minus 44 = minus £8,800

DOW minus 32 = minus £3,200

MINUS £42,400  10.4K 15:51

When the US opened later that day, I had spent time preparing. I bought right out of the gates, caught the low of the NASDAQ, added and at one point had 43 points in open profit. I added to the position twice and at its best had 56 points profit. I was very bullish. Well, it didn't work out. I got stopped out for little and tried to long again. As a result of losing again, I flipped to the short side, and I ended up losing 44 points. It was not a proud moment in my trading career.

I had a loss on the Dow as well. In my desire to move stop loss down quickly I moved it perhaps too close, and I lost 30 points. I haven't shown the Dow trade.



I posted this message after the trading was done:

TraderTom Live Day Trading UPDATE

I lost £42,400 today. My auditor "Q" is on holiday, so here is a monthly status for April so far. There has only been 4-5 trading sessions this month because of Easter. I was before today plus £31,700. Today obviously took me into red for the month. I am now down for April by £10,700.

I hate to write this because it feels like an ego driven sentence - but I am still plus £275,000 in profit for the year. However, I will not ignore today as an outlier. There was something about my behaviour and reaction to the market that felt off. It is as if I am trying to "get 100 points when the market will only offer 50". The tune of the DAX has changed from earlier in the year. I think I need to tread a lot more careful tomorrow. I don't think my aggressive stance is ill suited, but it feels as if the moves are not coming as quick in the trading day as they normally do.

I will see you tomorrow.

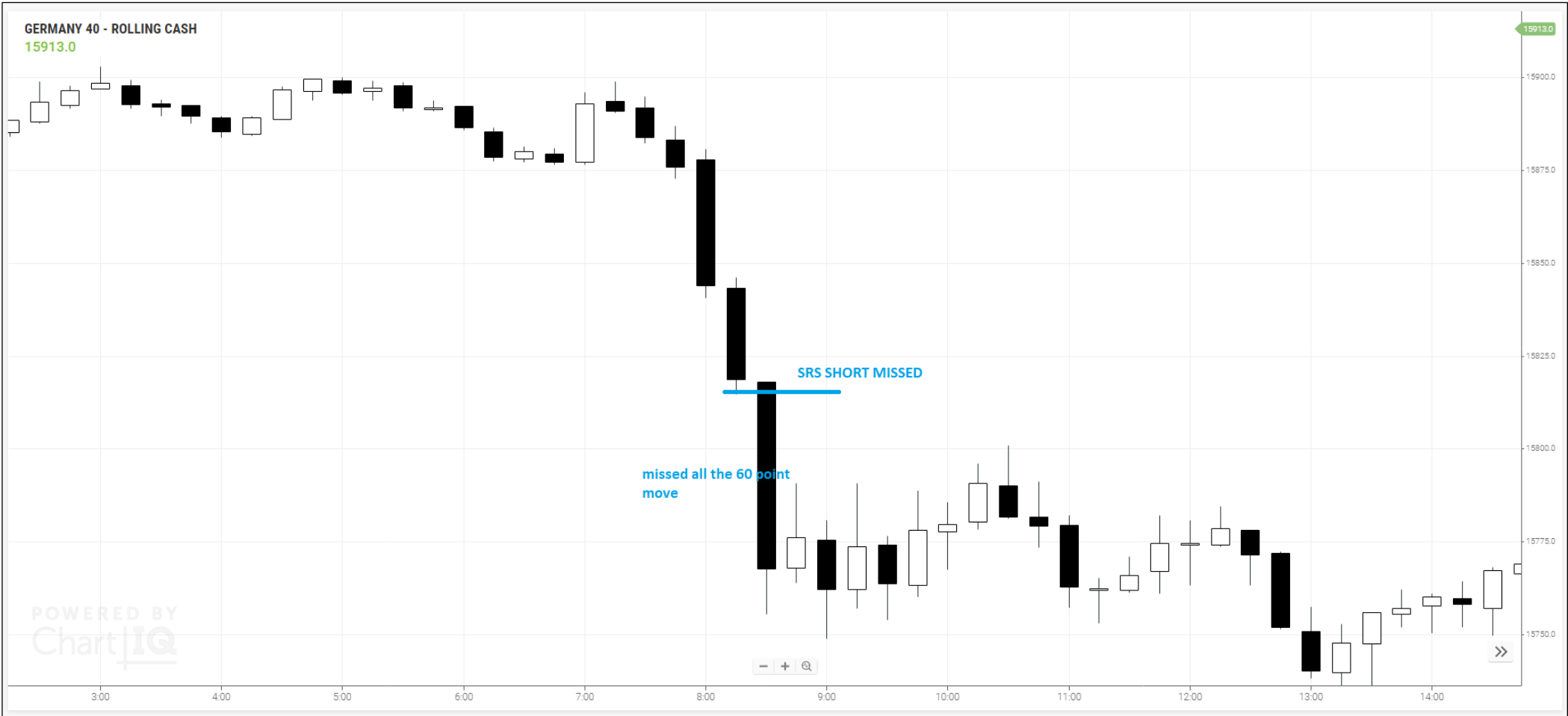
Tom ❤️

👁 10.3K edited 22:49

The next day started poorly. I missed the School Run because the market moved so fast. I also bought a retracement, which lost me 30 points. Here is the buy explanation:



Here is the missed School Run Signal:



I look at my trades and I can see I was clearly pushing the winners much more than I would normally do. The market didn't carry it, and I lost small, but many times, and it adds up!!!



The image is a screenshot of a trading status report. It has a green border and a white background. The text is as follows:

TraderTom Live Day Trading
STATUS FOR TODAY + FOR THE MONTH + PLUS SINCE JAN 2023

STATUS TODAY

DAX = MINUS 36 = minus £7,200

FTSE = MINUS 30 = minus £9,000

NASDAQ = MINUS 82 = £16,400

DOW = MINUS 252 = £25,200

LOST £57,800 today

The DAX and the FTSE loss I can accept. However, the Nasdaq and the Dow were unusually large losses for me, and I will look at them in close detail now.

Instead of taking a profit of 140 points in the Dow I don't move stop loss down to breakeven, and I go from plus 140 to minus 250. That is when I knew that I was out of sorts, and I needed to step away from the markets for a while.



I would love to save myself the damage of seeing the NASDAQ chart, but I have to face that pain if I am to learn.



What is the conclusion?

I can point to several, but they may come across as “cry me a river”, and I don’t want to portray my trading insincerely.

The overriding feature was one of being burnt out!!

I could add being too aggressive, but I dismiss it, and trace it back to being burnt out. I didn’t have the capacity to stop myself from adding too much. I didn’t break any cardinal rules by adding to losers, but I was going for the jugular, and the market didn’t want to give me that.

I have spent the last month working on other projects. I have a new book I am working on, which is a nice distraction from trading. I have spent time reflecting on what went wrong and whether I did the right thing to stop trading for a few weeks.

I also put an enormous effort into the IX show and the CMC Markets talk, which were both well received. I hope that CMC will soon publish the recording from the talk.

I am back in the saddle tomorrow morning. I had intended to stay away until the 10th of June, but I am actually missing trading now, so I want to start gently and ease my way into a good rhythm again.

There you have it.

Thank you for reading.

Tom